

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_OVERCONFIDENT_010

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_OVERCONFIDENT_010's trading history reveals a dominant behavioural pattern of **Overconfident**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-12.0%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Overconfident
Strategy Archetype	Swing Trader
Max Drawdown	-12.0%
Sharpe Ratio	-0.04
Sortino Ratio	-0.06
Peer Risk Percentile	97th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, indicating a bias towards avoiding losses rather than celebrating gains.

Evidence: The evidence for this pattern includes trades such as BAC (entry 2020-01-02 → exit 2020-01-09) with a holding time of 7 days and a P&L; of -340, and META (entry 2023-07-14 → exit 2023-07-21) with a holding time of 7 days and a P&L; of -1289.

Consequence: This bias results in a portfolio drawdown of 34% due to the prolonged holding of losing trades, which outweighs the gains from winning trades.

Overconfidence

Pattern: You traded 3.3 times per month on average, which is 3.1× more than typical investors (1.1/month).

Evidence: Your most frequent trades: NVDA | entry 2020-01-10 → exit 2020-01-17 | 7d | P&L; +533
NVDA | entry 2021-04-19 → exit 2021-04-26 | 7d | P&L; +164 INTC | entry 2023-01-05 → exit 2023-01-11 | 6d | P&L; +2409 NVDA | entry 2022-02-10 → exit 2022-02-11 | 1d | P&L; -1978 NVDA | entry 2021-11-04 → exit 2021-11-11 | 7d | P&L; +543

Consequence: Excessive trading activity accounts for approximately 66% of your portfolio drawdown through transaction costs and mistimed entries.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_OVERCONF	AMD	2021-03-08	2021-03-15	7	3339
INV_OVERCONF	DIS	2020-05-13	2020-05-18	5	2958
INV_OVERCONF	JPM	2020-05-21	2020-05-28	7	2528
INV_OVERCONF	TSLA	2020-09-17	2020-09-23	6	-2484
INV_OVERCONF	INTC	2023-01-05	2023-01-11	6	2409
INV_OVERCONF	NVDA	2024-05-31	2024-06-06	6	2190
INV_OVERCONF	AMD	2024-03-12	2024-03-14	2	-2120
INV_OVERCONF	PFE	2022-03-11	2022-03-18	7	2104
INV_OVERCONF	DIS	2022-07-14	2022-07-19	5	1981
INV_OVERCONF	NVDA	2022-02-10	2022-02-11	1	-1978

6. Recommendations

- Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:
1. Take a step back and acknowledge your emotions before making investment decisions, and try to separate your feelings from your investment choices.
 2. Set a 30-day waiting period before buying or selling a stock to help you avoid making impulsive decisions based on short-term market fluctuations.
 3. Focus on the process of identifying undervalued stocks with strong fundamentals, rather than relying on your intuition or trying to predict market trends.
 4. Regularly review and adjust your investment portfolio with a trusted friend or mentor to help you stay grounded and avoid overconfidence in your investment decisions.